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AN FORAS RIARACHÁIN

Certificate in Local Government Studies
(Accredited by NUI)

LESSON 3
Local Government Finance

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Learning Objectives

By the end of this lesson, you should be:

- familiar with the sources of funding of local authorities
- aware of changes in the methods of financing local authorities and the budgetary and audit process
- familiar with current developments in the finance area
- aware of current policy in relation to local government funding

3.0 INTRODUCTION AND OVERVIEW

This lesson explains the financing of local government services and operations and the various sources of revenue for local authorities, including the local property tax (LPT), commercial rates, service charges and various forms of central government grants. The annual local government budget process is outlined, as are arrangements for the publication of end-of-year accounts, financial management systems, and the audit of local authority finances.

The availability of sufficient financial resources to deliver services and programmes is a key requirement for any organisation, either public or private. Lack of adequate financial resources has long been cited as one of the critical shortcomings of the Irish local government system. International comparative data shows that Irish local authorities spend a smaller share of public expenditure compared with other local government systems in Europe and elsewhere. As part of wider reforms, the method of financing local authorities, the method of accounting for such finance, and the allocation of adequate resources have been the subject of many studies and reform proposals. Funding has been a core issue since the removal of domestic and agricultural rates in the late 1970s and early 1980s. This Lesson will outline the current system and the changes that have taken place in recent years.

Local authorities are big spenders. Based on budgeted figures, in 2023 they spent some €11.7 billion overall, of which €6.6 billion was revenue expenditure and €5.1 billion was capital expenditure (see below for an explanation of these terms). Without adequate financial resources, it is challenging to provide an effective level of public services. As Ireland's population increases and the country develops, the need and demand for services change. According to OECD data, Ireland spends roughly 30% of GDP on public services. By way of contrast, Belgium, Denmark and France spend more than 50%. Ireland's general economic policy has been one directed at low taxes. Over-dependence on central government for funding makes the local level vulnerable to changes of circumstances/ priorities at the centre. This was a key policy consideration for the introduction of the LPT.

If local government is to have an increased role in public services (as was the intention in *Putting People First*), it is imperative that there is sufficient inherent financial strength within the system to meet the genuine needs and aspirations of local people, community and business interests.

Apart from services of a local nature, local authorities also have a very important role to play in achieving national community, cultural and socio/ economic objectives. In many ways the services and works carried out by local authorities are important components in support of the national economic effort. Local authority financing is a particularly difficult problem (not just in Ireland but also in many other countries) and has been for many years. There are no easy solutions and, if the community as a whole wishes to avail of high quality public services, funds for the carrying out of the necessary works and services must be made available. An increased level of services will require appropriate financing from available sources, or alternative means of delivery must be implemented.

Public and political acceptance for taxes (or increased taxes) can be difficult where there is no apparent link between the raising of money and the new or improved services delivered. If true accountability is to be achieved, a reasonable amount of local authority financing has to be generated locally. Central government grant supports should deal with issues of a particularly national character. A general equalisation grant based on standard needs is part of most systems of local government financing to ensure equity of distribution and reasonable provision of services throughout the country.

To justify charges and taxes locally, local government must be relevant and valued by the community being served. In addition, services and support must be provided to a level and quality that will meet the *realistic* needs of citizens. There is a crucial balance to be achieved. This is a role performed by elected members, particularly at budget time, *i.e.* the need to balance the taxes and charges imposed by the local council against the level and quality of services provided and who benefits from those services.

In 2023, the total revenue expenditure of local authorities amounted to €6.6 billion. Revenue expenditure declined in the years following the financial crisis of 2008-2010 until 2015. Total revenue expenditure by local authorities has increased gradually since then. The service division that has experienced the greatest increase in LA expenditure was 'Housing and Building'. This is almost entirely accounted for by the Housing Assistance Payment Scheme, which students will read about in the Housing Lesson. And it is worth noting that regardless of the year in question, local authorities collectively are dealing with billions of euro of spending, and given the significant amounts involved, it is therefore important that local authorities deliver and are seen to deliver value for money (VFM). VFM requires the continuous monitoring of programmes to promote greater efficiency and effectiveness. It is also important, to bear in mind, however, that there is a considerable social and community development component of the Council's work that must be taken into account in VFM considerations.

During the 2008-2015 period, local authority income decreased steadily, and this reduction impacted significantly on the capacity of local authorities to maintain infrastructure and services. However, the reduction in expenditure also helped national recovery. Since then there has been a gradual rise in local authority income.

Since 2015, some specific financial challenges face local authorities, including:

- Maintenance costs arising from new and existing infrastructure, e.g. new council housing schemes, long-term under-investment in roads coupled with more traffic, taking-in-charge of new housing estates, public lighting, replacement machinery fleet, improving road safety. Councils have to maintain parks, pitches, playgrounds, open spaces, libraries, arts and festival programmes, etc.
- Payroll and pension costs due to national pay agreements and rising staff levels, (including the costs of lump sums).
- Variability in income streams due to changes in the economic climate (e.g. periods of growth, compared to periods of recession, including the economic effects of Covid-19 lockdowns in 2020-2022). This affects collection levels for income such as commercial rates, housing rents, housing loan repayments, fire service charges.
- Higher environmental costs to meet EU standards, e.g. water and noise pollution, bring banks, illegal dumping, street cleaning, control of wandering horses, etc.
- Rising insurance costs owing to the claims culture in the country.
- More investment in developing areas of work such as economic development and climate change.
- More focus on ensuring value for money in delivering quality services.

The budget is effectively an Annual Business Plan of the Council and is the major overarching policy framework adopted by the elected members that affects all areas of service provision. Once approved it is a matter for the Chief Executive and staff to ensure that the various programmes are carried out in accordance with the vote of the members. The executive must remain within budget and any variances must be retrospectively approved when the members consider the Annual Financial Statement.

For a comprehensive overview of local authority budgets, see the publication 'Local Authority Budgets' for the most recent year available on the Department of Housing website.

3.1 EXPENDITURE CLASSIFICATION

Expenditure of local authorities can be classified under two headings: Current (or Revenue) Expenditure & Capital Expenditure.

1. Current (Revenue) Expenditure is financed by government grants, rates on commercial property, LPT, and miscellaneous income (charges for services, housing rents, housing loan repayments, etc.). Current expenditure is usually of a recurring nature (e.g. housing maintenance, salaries, pensions, etc.) and produces no permanent asset. The annual budget is based on current expenditure.

2. Capital Expenditure is financed by government capital grants, development levies and borrowings supplemented by internal resources and other receipts such as property sales. Capital expenditure generally is incurred on the creation of an asset having a life extending beyond the year in which it is provided (e.g. house building, major road improvement works, water and sewerage schemes, etc.). In the case of some projects (e.g. local authority offices) they may be funded entirely by local

authority's own resources and borrowing. Roads expenditure in respect of improvement works on national roads is classified as capital expenditure.

However, maintenance works on national roads and all expenditure on non-national roads are classified as revenue expenditure. Capital expenditure within local government contracted significantly between 2008 and 2014, dropping from €6.1bn to €1.1bn, with most of the reductions felt in housing, roads and water services. Capital spending by local authorities recovered to a level of €1.9bn by 2017 and had risen to €5.1 billion in 2023 and might be expected to rise in the years ahead as the National Development Plan is implemented.

The power to borrow money is contained in the Local Government Act, 2001. Borrowing is a reserved function, and Ministerial sanction is required. The overall level of local authorities' capital expenditure is determined by the amount the Government allocates annually for major capital projects to be provided by local authorities. The allocations are set out annually in the Public Capital Programme. While in the past substantial funding was received from the EU (mainly Structural and Cohesion Funds), the level of funding for capital projects has now diminished and most funding now emanates from the Exchequer.

3.1.1 National Development Plan (NDP)

Local authorities ability to provide infrastructure and capital projects is largely governed by the finance available from central government and, to a much smaller extent, the EU. It is important therefore to briefly note the importance of the National Development Plan (NDP).

Most people think of the NDP as relating to roads and transport and other major infrastructural projects. While these may be the most visible evidence of NDP investment, the plan also provides for investment in social and affordable housing, education, worker training and skills, childcare, expansion of science, technology and innovation capacity and projects to advance social inclusion. Investment in social and economic infrastructure is provided for in areas including transport, housing, water, education and health.

The current National Development Plan covers the period 2021–30 and provides for investment of nearly €165 billion. Its provisions are aligned to the objectives of the *Project Ireland 2040: National Planning Framework* (see Lesson on Planning).

3.2 INCOME CLASSIFICATION

This section sets out further information with regard to sources of income of local authorities.

The main sources of LA finance are:

- commercial rates
- local property tax
- receipts for goods & services

- grants and subsidies

3.2.1 Commercial Rates

Commercial Rates are levied annually by county, city, and city and county councils. As a general rule, rates are levied on the occupiers of commercial/ industrial property. The valuation of such property for rating purposes is carried out independently by Tailte Éireann (before 2023 this was carried out by the Valuation Office), with a right of appeal to a Valuation Tribunal. Each year the level of the rate, known as the Annual Rate on Valuation or ARV, is determined by the elected council as part of the budgetary process. The annual rates bill for commercial premises is calculated by applying this ARV to the valuation of the property concerned.

3.2.2 Local Property Tax (LPT)

Local Property Tax (LPT) is now a key funding source for local government, replacing the General Purpose Grant funding allocation. From 2023 100% of the LPT collected in the local authority area is allocated to that local authority. Beforehand, the arrangement involved an allocation of 80% of the LPT collected from property owners being retained by the LA, with the remaining 20% being paid into an equalisation fund from which payments are made to councils not achieving a level of funding equivalent to the 2013 General Purpose Grant (GPG) through their own LPT receipts.

The Local Government Reform Act 2014 and associated Regulations permits councillors to vary the rate by a maximum increase or decrease of 15%. In other words, the LPT returns to its base line every year. So, whether the members have increased or decreased the LPT the previous year, it 're-sets' to the base line. We will return to the LPT later in this lesson.

3.2.3 Goods & Services

Examples of receipts from Goods & Services include the following:

- Housing Rents.
- Repayment of Housing Loans.
- Planning Application Fees.
- Fire Charges.
- Parking Charges.
- Superannuation contributions.
- Grave Space and Burial Fees.

Note: Development Levies (contributions levied under conditions attached to planning decisions) are *capital* income and are not included in the revenue account.

A brief note in relation to some of the principal receipts common to local authorities in general is now outlined.

Housing Rents

Local authorities provide houses and charge rents for these dwellings. The rents are charged on the basis of a differential rents scheme that has regard to household income. Full details are outlined in the lesson dealing with Housing.

Housing Loans

There are various types of housing loans available for purchase, construction or reconstruction of houses. The interest element of repayments by borrowers is included as income in the revenue account.

Planning Application Fees

The fee for planning applications is set nationally by central government. The amount of income from this source is dependent on the amount of planning applications received. Fees are not, however, related to the amount of work involved in processing an application, and maximum fees have been set for larger developments. Fees under building control legislation are also payable in relation to Commencement Notices.

Charges for Refuse Disposal

A small number of local authorities operate landfills and charge for disposal.

Fire Fees

Most local authorities charge fees for attendance at fires. This would relate in some cases to household fires such as chimney fires and also for attendance in relation to fires at commercial premises.

Development Levies

The Planning and Development Act, 2000 empowers planning authorities to levy development contributions in accordance with a scheme adopted by the elected members. Such contributions are credited to the capital account. Consequently, the amounts involved do not appear as revenue income in the budget.

Car Parking Fees

All cities and most large towns now charge for on-street parking and council operated car parks. This can be a valuable income stream for re-investment in improved traffic management, variable message boards and public realm improvements.

Miscellaneous Charges

There are many other miscellaneous services where fees/charges are paid. However, the amounts involved for many of these are relatively small. The scope of charging for services

can be limited. Apart from the major activities outlined above, it is unlikely that any significant monies will be received by way of miscellaneous income from various activities. In many cases in fact, the charges do not reflect the actual cost of providing a service. An obvious example is the planning application fee for a single house. This is currently set at €65, even though the average cost of processing an application is estimated at c. €500. The fee is set in regulations made by the Minister. By contrast, Northern Ireland charges €765 for the same service.

Internationally, there has been greater charging by local government for particular services, given that certain areas provide a transparent link between payment for and consumption of a service. Charges can also incentivise desired behaviour (for example, in reducing waste volumes or promoting water conservation). In Ireland some charges have had a negative public perception (at least with some citizens in some areas) and attracted significant political controversy. Difficulties with charges include the facts that they can be difficult to pay, can be regarded as a form of double taxation, and can be 'lumpy', i.e. a single large sum to pay. Some can also be difficult to collect (e.g. domestic refuse charges).

3.2.4 Grants and Subsidies

Government Grants can be divided into two categories: General Grants and Specific Grants.

1. General Grants – these are grants given to local authorities without a requirement as to how they are to be spent, *i.e*. they constitute a general subvention which may be spent at the discretion of the local authority.

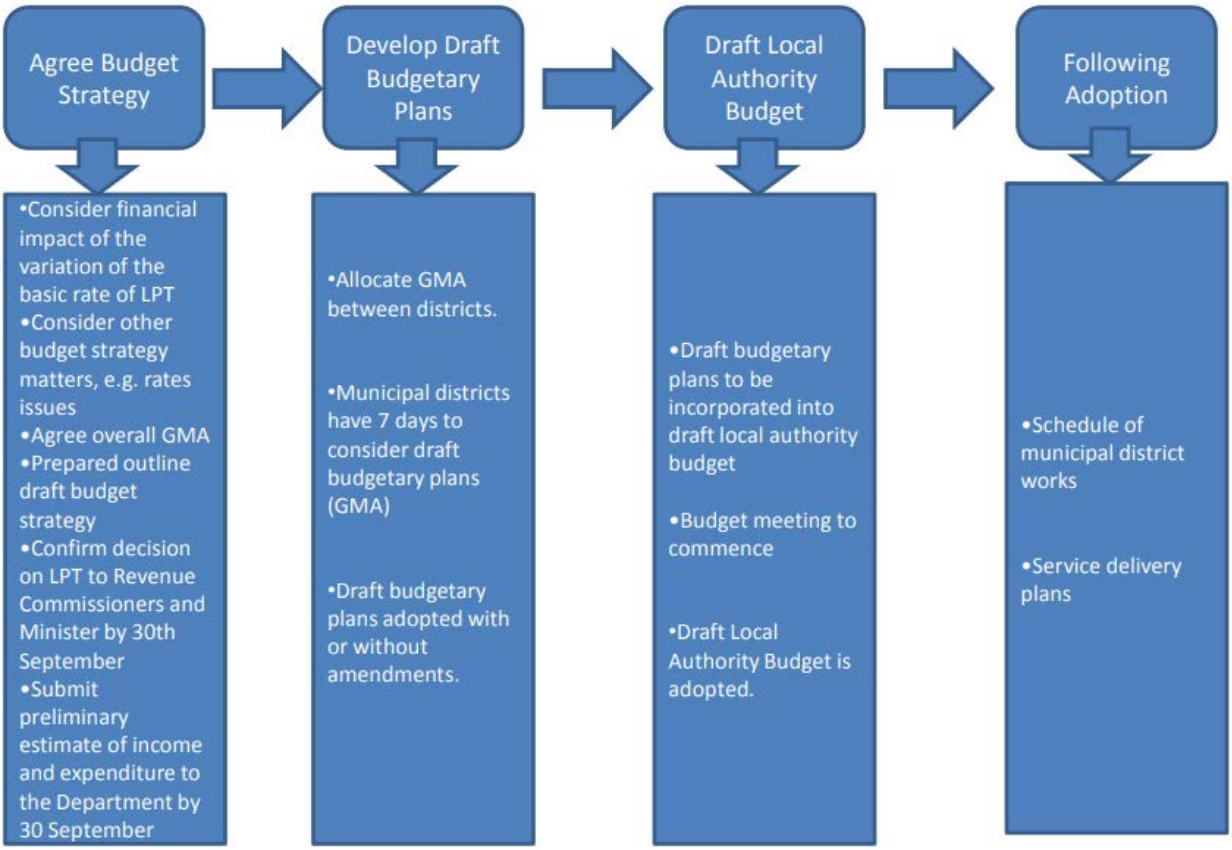
2. Specific Grants – these are grants for a specific service such as civil defence (70% of expenditure is recouped), with recoupments of a portion of expenditure on the homeless, halting sites, etc.

Specific grants should finance national policy objectives. Discretionary grants should finance local policy decisions.

Some road grants, while specific to the extent that the monies must be spent on certain types of roads, allow discretion in that the LA is not bound to spend the monies on a specific job. These are discretionary maintenance and discretionary improvement grants for improvement and maintenance of regional and local roads.

3.3 ANNUAL BUDGET/ ANNUAL FINANCIAL STATEMENT (AFS)

The process of the Annual Budget is set out as follows:



In accordance with Section 102 of the Local Government Act, 2001 each local authority is required to prepare a draft annual budget setting out for the next financial year:

(a) The expenditure estimated to be necessary to carry out its functions.
(b) The income estimated to accrue to it.

The draft budget is prepared in a format prescribed by central government regulations, illustrating the amounts needed to resource different functional programmes of the local authority.

3.3.1 Format of the Budget

The format of the budget documentation is prescribed in the Accounting Code of Practice (ACOP) and the *Local Government (Financial Procedures and Audit) Regulations*. While the layout and information may vary from authority to authority, certain information is standard.

Income and expenditure is broken down between eight Service Divisions (previously known as 'Programme Groups'), along with Central Management Charges across the organisation (see below):

1. Housing and Building
2. Road Transportation and Safety
3. Water Supply and Sewerage
4. Development Incentives and Control

5. Environmental Protection
6. Recreation and Amenity
7. Agriculture, Education, Health & Welfare
8. Miscellaneous

Within these Service Divisions, data is further broken down into sub-services, e.g. Maintenance and Improvement of Local Authority Housing, Housing Loans, Housing Grants, Homelessness, Road Maintenance and Improvement, Traffic Management, Road Safety, Forward Planning, Development Management, Planning Enforcement, Economic Development, etc. Within these sub-services, the budget adopted for the previous year for income and expenditure is shown together with the estimated outturn. The draft budget then shows the figure estimated by the Chief Executive as being required for the year in question.

The budget *must* balance, *i.e.* proposed expenditure must be met from proposed income whether from goods and services, grants or rates.

Table B in the budget summarises the income and expenditure in respect of each programme group, the amount of any incoming debit balance, and the amount which will be received from central government. The balance must be raised from rates. The Annual Rate on Valuation (ARV) is calculated by dividing this balance by the effective (commercial) valuation.

You can easily access your local authority's budget book through the internet and peruse the contents of the Chief Executive's Report.

3.3.2 Preparation of the Draft Budget

The budget process for the preparation, consideration and adoption of the budget requires statutory compliance with a number of steps. These can be summarised as follows:

- Step 1 – Decision by the Council on the adjustment factor to the Local Property Tax (LPT) following a public consultation process.
- Step 2 – Allocation of the General Municipal/ Metropolitan Allocation (GMA).
- Step 3 – Consultation with the Corporate Policy Group (CPG) and adoption of the draft budget by Council, including adoption of the Annual Rate on Valuation (ARV).
- Step 4 – Consideration and adoption of the schedule of Municipal works by each of the Metropolitan / Municipal Districts.

Through the process of consultation with the Corporate Policy Group and consideration of the views of Council expressed through the different stages of the budgetary process and through the meetings of the Municipal/ Metropolitan Districts, the budget presented is expected to take into consideration different views and feedback as far as possible.

At the Statutory Budget Meeting, the elected members of the council are asked to make the following decisions:

- Adopt the Budget with or without amendment.
- Determine the Annual Rate on Valuation (ARV).
- Determine the proportion of Rates Refund applicable on vacant commercial premises.

3.3.3 Budget Documents

There are a number of statutory tables included in the budget documents (Tables A-F).

- Table A – Shows the overall budget by Division and the calculation of Annual Rate on Valuation.
- Table B – Detailed Expenditure & Income by Division and sub-division.
- Table D – Analysis of Budget Income from Goods & Service – shows amounts of income from housing rents and loans, parking charges, planning fees, fire charges, etc.
- Table E – Analysis of Budget Income from Grants & Subsidies – shows the amount of grants from various government Departments and agencies (e.g. Department of Housing, TII, Enterprise, Arts Council, etc.)
- Table F – Detailed Expenditure and Income by Division. This is a high-level breakdown of how the budget is sub-divided.

Expenditure and Income is set out over 9 Divisions:

1. Division A – Housing & Building.
2. Division B – Road Transport and Safety.
3. Division C – Water Services.
4. Division D – Development Management.
5. Division E – Environmental Services.
6. Division F – Recreation and Amenity.
7. Division G – Agriculture, Education, Health & Welfare.
8. Division H – Miscellaneous (Machinery Yard, Rates refunds, Franchise, Local Representation, Motor tax).
9. Division J – Central Management Charges (Operation of area and HQ offices, Finance, HR and IT running costs, Pension and Lump Sum Overhead)

3.3.4 Municipal District Budgets/ Schedule of Works

It is a reserved function by members at Municipal District Level to adopt a draft budgetary plan as part of the overall local authority budget. A Draft Municipal District Budgetary Plan will detail proposed expenditure of the General Municipal Allocation (GMA) only. This can be spent in any way the Municipal District (MD) sees fit and could be used to prioritise additional discretionary expenditure in one of the 8 budget divisions detailed above if the members wish to do so.

Following the adoption of the budget, a schedule of proposed works in each municipal district shall be prepared under the direction of the Chief Executive in line with the adopted Municipal District Budgetary Plan. The schedule of municipal district works shall be

considered by the municipal district members concerned and be adopted by resolution, with or without amendment.

All of the above steps are designed to strengthen governance by members at local level.

3.3.5 Annual Financial Statement (AFS)

Section 60 of the Local Government Reform Act, 2014 deals with the consideration of the Annual Financial Statement (AFS) and the Auditor's Report. While the Budget sets out the proposals for the forthcoming year, details of actual figures at year-end are contained in the AFS. Since 2003 full accrual accounting applies based on double entry and incorporating a full balance sheet. In the course of changing to accrual accounting and balance sheet, local authorities were required to identify and value their historical assets. The AFS is prepared in accordance with the Accounting Code of Practice.

3.3.6 Other Financial Provisions – Local Government Act, 2001

Before the start of each financial year the Chief Executive must submit to the elected council a report outlining the programme of *capital projects* proposed for the forthcoming and the following two local financial years. This is usually set out at the back of the budget book and will detail various projects and how they are to be funded. It is not part of the budget process.

If the members adopt an *insufficient budget* the Chief Executive is required to make a submission to the Minister. The Minister can require the members to revoke or amend the budget. If the members fail to comply with the requirement, the Minister may remove from office the members of the Local Authority (Part 21 of the Local Government Act, 2001).

3.4 VALUATION, RATES, AND LPT

The Valuation (Ireland) Act, 1852 was the basis for a lot of the present rating system. The valuation of houses and other buildings was made by reference to the annual letting value (i.e. rental) less the cost of repairs, insurance and other expenses necessary to maintain the property.

Land was valued by reference to a fixed scale of prices for agricultural products as set out in the Act and to all local circumstances affecting the land. The valuation of land ranged from a couple of cents per acre on bad land to over €1.27 in the more fertile areas.

The basis for valuation under the Valuation Act, 2001 is similar – the value of a property is determined by estimating the net annual value, which is the rent for which the property might in its actual state be reasonably expected to be let on the assumption that the cost of repairs, insurances and other expenses in respect of the property are borne by the tenant. The Valuation Act, 2001 is now the primary piece of legislation dealing with valuation for rating purposes.

3.4.1 Revision of Valuation

Revision applications are made directly to Tailte Éireann (before 2023 known as the Valuation Office). The Valuation Act, 2001 provides that an owner of a property, a rating authority, a person who has an interest in a property or an occupier of a property may apply for a revision of the valuation of the property.

Tailte Éireann may amend the valuation of the property, exclude the property from the valuation list on the grounds that the property is no longer relevant property, or amend any particulars in relation to the property. The revision officer may also carry out a valuation on property not currently on the valuation list. A material change of circumstances includes physical changes, such as the erection of new buildings or the extension of existing buildings, and structural alterations that result in a change of value. Non-physical changes refer to change in rateable status. A proposed valuation certificate is issued to the occupier and observations may be made. In the event of a submission, Tailte Éireann may amend the terms of the valuation certificate. The revision officer then issues to the occupier of the property and the rating authority a new valuation certificate.

3.4.2 Appeals

Where an occupier is not satisfied with a proposed valuation revision, they may make observations in writing within 40 days from the issue of the relevant valuation list or valuation certificate containing the proposed valuation to Tailte Éireann.

A further appeal is available to the Valuation Tribunal. The Tribunal consists of a Chairman qualified in law and members qualified in law or property valuation. Decisions on appeals are retrospective to when the revised valuation became effective. This is an important point, as it may lead to rate refunds (for a valuation reduction) or rate arrears (for a valuation increase).

The Tribunal replaced the previous system of Circuit Court appeals. The Tribunal, as a specialised body, is in a position to deal with cases promptly and to uphold a consistent code of case law. Tribunal hearings are as informal as possible and proceed more as inquiries rather than by an adversarial court approach. Decisions of the Tribunal on an appeal in most cases are final, although they can be subject to an appeal to the High Court and the Supreme Court, although only on a point of law.

As the local authority's rates income is based on commercial valuations, it is essential that new commercial properties and renovations are listed for revision by the authority to ensure valuation/revaluation.

3.4.3 General Revaluations

The Valuation Act, 2001 outlined the process for a general revaluation of commercial properties. A general revaluation is essentially the valuation of all properties within a single rating authority area or a selected group of rating authority areas at a specified date, with all the new valuations becoming effective at the same time.

A general revaluation allows a uniform and equitable valuation base to be established. The legislation provides for regular 5 – 10 year revaluation in future. By 2023, general revaluations had concluded in Carlow, Cavan, Fingal, Kildare, Kilkenny, Laois, Leitrim, Longford, Louth, Meath, Monaghan, Offaly, Roscommon, Sligo, Tipperary, Westmeath, Wexford, Wicklow, Dublin city, Limerick city and county, and Waterford city and county, and revaluations were under way in Clare, Donegal, Dún Laoghaire - Rathdown, Galway (city and county), Kerry and Mayo. Some ratepayers can experience reduced valuations as a result of the process, whereas for others their valuation can increase, and others can have no change. Overall, general revaluations are intended to be revenue neutral for local authorities. However, some authorities have noted that property owners who experience an increase have, on appeal, secured a reduction, with the resultant loss of income to the authority.

The following are the main changes under the Valuation Act, 2001 in relation to the revaluation:

- All commercial and industrial property will be valued by reference to market conditions. The basis of Valuation will be the open market annual rental value of the property.
- The entire country will be revalued over a 5-year period.
- Subsequent regular revaluations will take place every 5 – 10 years.
- In the interval between revaluations, additions of new properties and revisions of existing properties where required will take place.

3.4.4 Commercial Rates

Commercial Rates are levied annually by local authorities on the occupiers of commercial/ industrial property. The annual rates bill for commercial premises is calculated by applying the ARV that is decided in the budget to the valuation of the property concerned. A Rate Book must be prepared and includes all relevant properties liable for rates.

Rate Collection

Local authorities appoint revenue collectors to collect rates. The warrants authorising the collectors to collect the rates are sealed and signed. Rates are payable in two moieties, one after issue of the demand note and the second on 1st July.

Revenue collectors may also be responsible for other collections, including rents and housing loans. For rates arrears the defaulter is summonsed before the courts to obtain a decree for the rates due and costs. Judgment mortgages may also be obtained and registered against the property. Under the Local Government Act, 1941 a rate collector has the power to seize the goods of a defaulter to the value of the rates owed (levy by distraint). Under the same Act, rates owed by a ratepayer may be offset against any payments owed by the Council to that ratepayer.

Schedule of Uncollected Rates

Each year the rating authority completes a Schedule of Uncollected Rates showing details of all amounts outstanding, including reasons for non-collection. The arrears are considered by the Chief Executive, who may decide to strike them off as irrecoverable, direct that they be carried forward to the following year's warrant, or disallow the claim and direct the collector to lodge the amount concerned.

3.4.5 Property Entry Levies (PEL)

The 2014 Act provides for entry year and post-entry year property levies on newly constructed properties following the placement of their valuations on the valuation list. The Act inserts a new Part comprising six sections into the Local Government Act, 2001. These provisions remove an anomaly in valuation/rating law, which is linked to the fact that liability to rates does not arise until the rating year subsequent to a property valuation being placed on the valuation list.

An entry year property levy may be imposed in respect of newly erected or newly constructed property, following its entry on the valuation list, calculated in accordance with a specified formula. Where the property is unoccupied the amount of the levy will be halved. A post-entry year property levy may be imposed in respect of newly erected or newly constructed property where the property has been entered on the valuation list after the rating authority determined the annual rate on valuation for the post-entry year.

3.4.6 Amendment of Section 56 of Valuation Act, 2001

The Valuation Act, 2001 makes provision for a comprehensive revaluation of all commercial and industrial property in the State. During the drafting of the Act concern was expressed that the revaluation process could lead to disproportionate increases in rates in the year following a revaluation. In order to address this concern, a provision was included in Section 56 of the Valuation Act, 2001 to limit the total overall amount of income a LA could raise through rates in the year following a revaluation to the amount of rates levied in the previous year, adjusted for inflation. It subsequently came to light that that Section of the Act did not allow for buoyancy in rates income to be included in the calculation of the limitation on rates income. The Local Government (Business Improvement Districts) Act, 2006 amended the Valuation Act, 2001 to provide that buoyancy in rates income in a rating authority in the year of the revaluation is included in the calculation of the limitation on rates income that is to be applied in the year following revaluation.

3.4.7 Non Principal Private Residence Charge (NPPR)

The Local Government (Charges) Act, 2009 introduced an annual €200 charge on non-principal private residences, payable by the owner of the non principal private residence (NPPR) to the LA in whose area the property concerned is located. Subject to certain exclusions, the NPPR charge applied to every residential property owned by a person which is not the principal or main residence of the owner. This included any house, maisonette, flat,

apartment or bedsit. The charge applied for the years 2009 to 2013 and was replaced by the Local Property Tax.

3.4.8 Local Property Tax

An annual Local Property Tax (LPT) charged on all residential properties in the State was introduced in 2013. A half-year payment was due in 2013, with a full-year payment due in 2014 and each year thereafter. As noted above, the local council has the power to vary the basic rate by a maximum increase or decrease of 15%.

The LPT is collected by the Revenue Commissioners. Owners (rather than tenants) of residential property in the State are liable for payment of the tax (this includes local authorities and social housing organisations). Residential property is classified as any building or structure (or part of a building) that is used as, or is suitable for use as, a dwelling and includes grounds of up to one acre. With regards to development sites or farmland, the LPT does not apply.

The amount of LPT to be paid is based on the market value of relevant properties. The LPT is a self-assessment tax based on the owner's own assessment of the market value of the property. Revenue does not value properties for LPT purposes but provides guidance on how to value the property. A range of methods are offered by the Revenue Commissioners for paying the tax.

The Local Property Tax (LPT) replaced both the NPPR which applied for 2009-2013 and the Household Charge which was a flat rate charge of €100 applying to all residential properties in 2012.

3.5 PAYMENTS BY LOCAL AUTHORITIES

3.5.1 Tendering/Procurement

Local authorities are subject to national and EU Public Procurement Policy. In addition, most local authorities have their own purchasing procedures.

EU Directives set out different thresholds in respect of different types of contracts, covering service contracts, supplies contracts, public works contracts and utilities contracts. Where contracts exceed the specified threshold, contracts must be advertised in the *Official Journal of the European Union*.

The procurement process can be carried out using open tender procedures (open advertisement), restricted tender procedures (where selected contractors invited to tender) or in particular circumstances through negotiated tender (negotiation with individual contractor). Tenders do not necessarily have to be awarded to the lowest tenderer – local authorities can use the most economically advantageous criterion as part of its considerations as part of the tender process.

Purchasing procedures within the local authority will specify the number of quotations required, the level of authorisation for acceptance of tenders, issuing of orders and authorisation of payments. The appointment of consultants and contractors on capital schemes may require departmental sanction and are subject to national procurement requirements.

3.5.2 Prompt Payment of Accounts Act, 1997 (as amended by the European Communities (Late Payment in Commercial Transactions) (S.I. No. 580 of 2012).

Local authorities are subject to the Prompt Payment of Accounts Act, 1997. Under this Act invoices must be paid within 30 days of the receipt of the invoice or the receipt of goods, whichever is later. If payment is not made within this period interest and compensation is payable, for the period by which the date of payment overruns the specified 30 days.

3.5.3 Tax Requirements

Relevant Contracts Tax (RCT) is the tax system that applies to payments made by a principal contractor (e.g. local authority), to a subcontractor under a relevant Revenue contract. The Subcontractors invoice is calculated less the VAT and the principal contractor pays the net amount to the subcontractor and the VAT to Revenue.

Before raising an order for a subcontractor, where construction work such as construction, alteration, repair, extension, demolition or dismantling of buildings or structures etc., or general supply and fit work is involved, an online application must be made to Revenue for a Relevant Contract Number for the specific job. When the form is completed, the original must be submitted to Accounts Payable, who process the on-line Revenue application. The Contract number received from Revenue must be included when raising the purchase order.

Each payment must be presented to Revenue in advance of payment for confirmation of the rate of relevant contract tax to be deducted e.g. 0%, 20% or 35%.

A Tax Clearance Certificate is required in respect of all suppliers of goods and services where the authority carries out over €10,000 worth of business with them in any one year.

3.6 AUDIT AND VALUE FOR MONEY

The Local Government Audit Service (LGAS) is established as part of the Department of Housing, but operates independently in carrying out the external audit of local authorities. The Local Government Audit Service consists of a Director of Audit and a number of Principal Auditors, under whom are a number of Auditors (called Local Government Auditors) to cover all of the local authorities in the country.

3.6.1 Objectives of Audit

The objectives of any audit, whether it be of a commercial enterprise or of a local authority are:

- the verification of accounts, statements and assets prepared by the staff of the body in question.
- the detection of fraud and error.
- the prevention of fraud and error.

While early detection of fraud and error is important, the first objective of the audit is the verification of the accounts as represented in the Annual Financial Statement.

3.6.2 The Local Government Auditor

The Local Government Auditor is appointed by the Minister for Housing to audit the accounts of a local authority and to report on these to the appropriate Minister. Notice of the time and place appointed for the holding of the audit is given by the Auditor. The Chief Executive must give at least seven days public notice of the opening of the audit. Notice of the time and place is also given to every member of the local council.

The Annual Financial Statement (AFS) and other documents must be made available for inspection during office hours by members of the public. Employees of the local authority must attend when requested by the Auditor and must submit all statements, records and documents relating to their duties which the Auditor may request.

The Auditor must be satisfied that the accounting systems in operation are soundly based and contain proper controls to highlight error and prevent unauthorised entries to the system. The Auditor will carry out spot-checks to ensure that the procedures laid down are being adhered to and that no unauthorised short-cuts have crept in. The Auditor will then pick sample transactions and examine them to ensure that systems are operating properly. A good audit trail is of fundamental importance in any system. This means that any item in the final accounts can be traced back to the original transaction(s).

In the case of an error in any of the accounts the Auditor may make or cause to be made the necessary correction or may direct that the correction be made. An objection to the Auditor may be made by any person to the inclusion of an item in or the omission of an item from the accounts. The Auditor must take any written objections into consideration, making a decision on these, and relaying their decision to the local authority.

The audit is deemed to be completed and closed when the Auditor adds their signature with the date to the audit opinion contained in the Annual Financial Statement. The Auditor sends a copy of the audited financial statement to the local authority, which then gives a copy and report to every member and makes it available to the public on request.

Section 11.4.31 of *Putting People First* (2012, p. 147) stated:

> "The opportunity will also be taken to modernise and update other audit provisions, including repealing the provisions for the Auditor to apply a surcharge (a penalty for illegal or unfounded payments) or a charge (a penalty for a deficiency or loss arising from negligence or misconduct). These are residual powers from the 1870s and early 1900s respectively, when the Auditor exercised a quasi-judicial power. They have

been superseded by more comprehensive and modern provision under the ethics code, financial reporting systems and in relation to the Office of the Ombudsman. Revisions to the provision for the making of an objection at audit, open to any member of the public, will enhance the accountability of local government through audit."

This proposed change has not as yet been implemented.

3.6.3 Value for Money Reports

The Value for Money Unit of the Local Government Audit Service has prepared a number of reports based on an examination of practices and procedures in selected pilot authorities or local authorities generally. These made a number of recommendations in relation to best practices. Progress in implementation of the recommendations is considered as part of the Local Government Audit. Internal auditors in a number of local authorities have been charged with introduction of practices based on these reports. These reports can be accessed on-line.

3.6.4 Internal Audit

The Institute of Chartered Accountants define internal audit as "a review of operations and records, sometimes continuous, undertaken within an organisation by specially assigned staff. The scope and objectives of the internal audit may extend to matters which are not directly of an accounting nature. On accounting matters the main objective is to assure management that the internal check and the accounting system are effective in design and operation. In practice, the internal auditor may be required to report also on whether the systems of accounting and internal check are economical".

3.6.5 Audit Committees

The Local Government (Business Improvement Districts) Act, 2006 (BIDS Act) provides for an enhanced role for audit committees in local authorities. These provisions reflect good practice and developments in corporate governance in both the public and private sectors, and also arose from recommendations made by the Value for Money Unit of the Local Government Audit Service.

The scale, complexity and diversity of local government business, allied to the need for transparency and accountability in regard to the performance of each authority, serve to highlight the importance of regularly reviewing the effectiveness of internal financial and operational controls. The statutory functions of audit committees are set out in the Act.

3.6.6 National Oversight and Audit Commission (NOAC)

Section 61 of the Local Government Reform Act, 2014 provides the legislative basis for the National Oversight and Audit Commission which was established in 2014.

The NOAC's statutory functions are wide. Specifically, under Part 12A of the Local Government Act 2001 (amended by section 61 of the Local Government Reform Act 2014), it is required to:

- "to scrutinise performance of any local government body against relevant indicators …
- to scrutinise financial performance, including value for money, of any local government body …
- to support the development and enhancement of best practice in the performance of local government functions.
- to monitor and evaluate adherence to service level agreements…
- to oversee how national policy on local government is implemented.
- to monitor and evaluate implementation of public service reform by local authorities.
- to monitor adequacy of corporate plans prepared by councils."

3.7 BUSINESS IMPROVEMENT DISTRICT/ COMMUNITY INITIATIVE SCHEMES

3.7.1 Business Improvement District Scheme (BIDS)

The Local Government (Business Improvement Districts) Act, 2006, provides the legal framework for the operation of Business Improvement District Schemes (BIDS) in Ireland. The Business Improvement District Scheme (BIDS) concept originated in Canada and the United States. Essentially a BID provides a means by which a group of business owners or private retailer agree by majority to raise a tax to provide additional local government services or new facilities or activities within their defined district. The typical type of operating services provided by a BID include street cleaning, maintenance of public spaces, security, promotions and special events, whilst the capital services can include such items as special lighting and street furniture. These businesses decide that they are willing to pay for such supplementary services or facilities.

A specially established BID company has responsibility for implementing the provisions of the BID scheme. The local authority plays a key role in the company, and collects annual BID contributions that fund the scheme.

3.7.2 Community Fund/Community Initiative Scheme

Under the Local Government Act, 2001, a local council may decide by a majority decision to establish a separate 'community fund' to support specific community initiatives such as amenity, recreational, environmental or community development projects of benefit to the area concerned. Contributions to the community fund can be made by local voluntary, business or community groups, and may be raised by the local authority by way of a community initiative scheme.

3.8 CONCLUSION

From the brief overview of finance given in this lesson it is clear that financial aspects play a central role in local government activities. There will never be sufficient financial resources available to meet all the demands for public services. Accordingly, it is essential that local authorities have very clear objectives as to how the financial resources will be expended and the outcomes to be achieved. Local authority expenditure, of both a capital and revenue nature, is a very significant aspect of local economic activity; the impact on the lives of citizens must be continually monitored.

In considering overall financial resources and their application, you should concentrate not so much on the amount of money involved as on the *impact on the lives of citizens*. This approach will be of considerable importance in helping you to understand the significance of financial resources in the carrying out of a vast range of activities within the context of achieving the overall objectives of local government in terms of improving the social, economic and environmental well being of the communities it serves.

KEY CONCEPTS

- Current / Revenue Expenditure
- Capital Expenditure
- Budget
- General Municipal Allocation (GMA)
- Service Division
- Annual Financial Statement (AFS)
- Public Capital Programme
- General and Specific Grants
- Local Property Tax (LPT)
- Commercial Rates
- Annual Rate on Valuation (ARV)
- Non Principal Private Residence (NPPR) charge
- Rating Authority
- Tailte Éireann
- Valuation Tribunal
- Local Government Audit Service (LGAS)
- Local Government Auditor
- Audit Trail
- Value for Money (VFM)
- Audit Committees
- Accounting Code of Practice
- National Oversight and Audit Commission (NOAC)
- Business Improvement District (BID) Scheme

STUDENT ACTIVITIES

1. Consult the budget for your local authority.

   - What is the estimated revenue expenditure?
   - What are the main sources of income?
   - What is the income from central government grants?
   - What is the effective valuation?

2. Review the Annual Financial Statement for your local authority.

   - What is the balance on the revenue account?
   - What is the balance on the capital account?
   - What is the capital debt?
   - How much are debtors?
   - What are the biggest individual items represented in the Statement of Debtors?

3. What are the collection rates in respect of your various sources of income?

4. Check how Value for Money Reports have been implemented in your local authority.

5. What is the process of preparing and adopting the budget?

6. What grants are available from government and what restrictions are placed on their use?

7. Why is the use to which financial resources are applied important?